

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-16

BALTIC AUTO SHIPPING, INC.

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV and
EMPIRE UNITED LINES CO., INC.**

RESPONDENTS' PETITION REGARDING ATTORNEY FEES

On September 15, 2015, the Presiding Judge entered an Initial Decision [**Doc. No. 67**] dismissing with prejudice Complainant Baltic Auto Shipping, Inc.'s ("hereinafter "Complainant" or "Baltic") complaint on the grounds that the claims asserted by Baltic were barred by the statute of limitations and barred by a prior settlement agreement and mutual release entered into between Baltic and Respondents Michael Hitrinov and Empire United Lines Co., Inc. (hereinafter "Respondents" or "EUL"). The Presiding Judge further found in the Initial Decision that EUL "is the prevailing party in this proceeding" and therefore "may be awarded reasonable attorney fees for service performed after the effective date of the Coble Act." [**Doc. No. 67 at p. 58**].

On April 21, 2017, the Commission served a Memorandum Opinion and Order granting Baltic's motion to withdraw its exceptions and dismissing the proceeding in part, but denying Baltic's request "that the Commission extinguish the ability of either party to seek attorney fees...." [**Doc. No. 94 at p. 13**]. Thus, the Initial Decision is now final and, therefore, pursuant to 46 U.S.C. § 41305(e) and Rules 72 and 254 of the Rules of Practice and Procedure of the Federal Maritime Commission, Respondents file this Petition seeking reasonable attorney fees as the prevailing parties in this proceeding.

BACKGROUND

Baltic and EUL are both non-vessel operating common carriers (“NVOCCs”) regulated by the Commission. From approximately 2007 until 2011 Baltic was a customer of EUL, utilizing EUL’s shipping services to ship vehicles purchased in the U.S. to ports in Eastern Europe.

On November 23, 2011, Baltic commenced a lawsuit against EUL in the United States District Court for the District of New Jersey, captioned as *Baltic Auto Shipping, Inc. v. Hitrinov et al*, U.S.D.C. – D.N.J., 11 Civ. 6908 (FSH) (PS) (hereinafter the “2011 DNJ Lawsuit”). The complaint filed by Baltic in the 2011 DNJ Lawsuit (which was verified by Baltic’s President Andrejus Presniakovas) alleged that EUL violated the Shipping Act of 1984 by attempting to collect certain shipping and other charges relating to the shipment of hundreds of containers of automobiles, allegedly in contravention of EUL’s tariff. See Document No. 1 on the docket of the 2011 DNJ Lawsuit, a copy of which is attached to the Werner Declaration as **Exhibit C**.

EUL and Baltic settled the 2011 DNJ Lawsuit within days of its commencement, and prior to EUL even appearing in the action. On November 29, 2011, Baltic and EUL entered into a Settlement Agreement and Mutual Release (hereinafter the “2011 Settlement Agreement”) formally and fully resolving the 2011 DNJ Lawsuit. The 2011 Settlement Agreement was executed by both EUL and Baltic (with Mr. Presniakovas signing on behalf of Baltic), and the terms of the 2011 Settlement Agreement provided that Baltic would pay \$8,000.00 to EUL in settlement of outstanding shipping charges, that EUL would release certain shipments on payment of agreed sums by Baltic, and further provided that Baltic and EUL agree to the following mutual general release:

With the exception of any obligations imposed by this Agreement, and in consideration of the undertakings set forth herein, and for other valuable consideration, receipt of which is hereby acknowledged, the Parties hereby release, remise, and discharge

each other and their officers, directors, attorneys, employees, agents, heirs, executors, administrators, successors, and assigns from any and all manner of claims, actions, causes of actions, demands, obligations, liens, rights, damages, costs, expenses, and/or compensation of any nature whatsoever that each party now has or may have had on account of or in any way growing out of shipping charges related to Baltic's cargo and any claims of damages related to the delay in releasing said cargo from the beginning of time up to the date of this release.

See Section 5 of the 2011 Settlement Agreement, a copy of which is attached to the Werner Declaration as **Exhibit D**.

After Baltic and EUL entered into the 2011 Settlement Agreement, Baltic never booked any further shipments with EUL. Furthermore, it is undisputed that all of the shipments at issue in this proceeding were previously identified in Exhibits A through F to the complaint filed by Baltic in the 2011 DNJ Lawsuit, meaning that all of those shipments were (obviously) booked prior to the November 23, 2011 commencement of the 2011 DNJ Lawsuit. See **Exhibit C** to Werner Declaration at Exhibits A through F. Since the last shipments Baltic booked with EUL were prior to the November 23, 2011, any right that Baltic might have had to seek reparations relating to Shipping Act of 1984 claims stemming from those shipments became time barred on November 23, 2014 (to say nothing of the fact that any such claims would have been released by Baltic pursuant to Section 5 of the 2011 Settlement Agreement). See Rule 302(a); 46 C.F.R. 502.302(a) ("Claims alleging violations of the Shipping Act of 1984 must be filed within three years from the time the cause of action accrues.")

Nevertheless, on November 28, 2014, more than three years after the 2011 DNJ Lawsuit was initiated and settled, in a complaint that was again verified by Mr. Presniakovas, Baltic commenced the instant proceeding against EUL before the Commission seeking reparations for the same alleged violations of the Shipping Act of 1984 that were the subject of the 2011 DNJ Lawsuit and which were resolved via the 2011 Settlement Agreement. **[Doc. No. 1]**.

Since Mr. Presniakovas had personally verified the complaint in the 2011 DNJ Lawsuit, as well as the complaint filed in this proceeding, and had also personally executed the 2011 Settlement Agreement, he, and Baltic, were clearly aware that the claims asserted by Baltic in this matter: (1) were identical to the claims asserted in the 2011 DNJ Lawsuit, (2) were previously released via the 2011 Settlement Agreement, and (3) were time barred since they had accrued at the latest on November 23, 2011, when the 2011 DNJ Lawsuit was commenced, which was outside the three year period provided for under Rule 302.

When Baltic (and its counsel, Marcus Nussbaum, Esq.) were directly confronted with these facts by counsel for EUL in early December 2014, Baltic and its counsel nevertheless heedlessly proceeded forward and spent the next two and a half years engaging in litigation of clearly time barred and released claims in bad faith.

On December 11, 2014, EUL filed a motion for a more definite statement in order to seek further details as to the specific vehicle shipments involved so that the fact that the claims were all time barred and previously released pursuant to the 2011 Settlement Agreement could be formally and unequivocally established. **[Doc. No. 6]**. In this motion EUL explained the time bar and release issues presented by Baltic's claims. **[Doc. No. 6 at pp. 4-5, 8-9]**.

On December 22, 2014, the Presiding Judge issued an Order directing Baltic to file an Amended Verified Complaint by January 9, 2015 **[Doc. No. 8]**. Baltic complied with this Order; however, despite being made aware of the obvious time bar and release issues, Baltic maintained its original time barred and released claims in its Amended Verified Complaint. **[Doc. No. 9]**.

On January 20, 2015, EUL commenced an action in the United States District Court for the District of New Jersey against Baltic, captioned as *Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc. et al.*, U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF), seeking enforcement of the 2011 Settlement Agreement (hereinafter the “Enforcement Action”). The

following day, on January 21, 2015, EUL filed a request for a stay of this proceeding pending the outcome of the Enforcement Action. **[Doc. No. 10]**. On February 2, 2015, the Presiding Judge issued an order denying EUL's request for a stay. **[Doc. No. 16]**.

On February 5, 2015, a telephone conference was conducted before the Presiding Judge, during which he advised the parties of his view that the statute of limitations and settlement issues would bar any recovery of reparations by Baltic, and further cited to what he believed to be the controlling decisions that mandated this outcome. The Presiding Judge then proposed that counsel for the parties consider those decisions and issue a joint status report on February 18, 2015, outlining how they proposed proceeding with the case. The Presiding Judge also specifically noted that "a complainant can only get attorneys fees if there is also a reparation award."¹

None of the Presiding Judge's statements deterred Baltic or its counsel; Baltic's counsel subsequently demanded that EUL produce documentation concerning more than 600 of its prior shipments booked with EUL (all of which were booked more than three years before this proceeding was commenced, and thus, were clearly outside the statute of limitations), and then in an attempt to manufacture a non-time barred claim, Baltic falsely asserted that 21 shipments booked with EUL in early 2012 by an entirely different company (Baltic Auto Shipping Corp. of Savannah, Georgia)² were its own shipments. **[Doc. No. 17]**.

On February 23, 2015, the parties participated in a further telephone conference before the Presiding Judge, during which he determined that all the shipments involved began and almost all were completed more than three years before Baltic commenced this proceeding. The

¹ At the direction of the Presiding Judge an audio recording of the conference was made and provided to the parties' counsel but no transcript was prepared. The audio recording can be made available upon request.

² Despite the similarity in names, Baltic Auto Shipping Corp. of Savannah, Georgia is separately incorporated with no direct relationship to Complainant Baltic Auto Shipping Corp. (which is based in Chicago, Illinois). Moreover, in correspondence contemporaneous with the 21 shipments, Baltic Auto Shipping Corp. of Savannah, Georgia expressly represented to EUL that it was not related to Complainant. **[Doc. No. 30]**.

Presiding Judge also determined that the facts alleged in the 2011 DNJ Lawsuit and the facts alleged in the complaint in this proceeding were virtually identical.³

Thus, the Presiding Judge decided that the effect of the statute of limitations and the 2011 Settlement Agreement should be resolved before fully litigating this matter, and on February 24, 2015, the Presiding Judge issued a Briefing Schedule **[Doc. No. 19]** directing that the parties engage in limited discovery and that EUL then file a motion for partial summary decision on the time bar and prior settlement defenses.

On February 26, 2015, a further brief telephone conference was conducted before the Presiding Judge during which he specifically advised counsel for Baltic that due to the Coble Act amendments the prevailing party in a case seeking reparations – not just complainants but also respondents – could seek recovery of attorney fees. The Presiding Judge stated that it was important for the parties to know this and wondered whether this might change the position of the case. It did not.

On March 23, 2015, as directed by the Presiding Judge, EUL filed a motion for partial summary decision seeking dismissal of the complaint on the basis that the alleged Shipping Act claims were barred by the applicable statute of limitations and were further barred by the 2011 Settlement Agreement and Mutual Release. **[Doc. No. 26]**.

On April 27, 2015, and prior to its filing an opposition to EUL's motion for partial summary decision, Baltic filed a motion seeking leave to amend its complaint in order to name Jon Werner, Esq. (counsel for respondents in the 2011 DNJ Lawsuit, the Enforcement Proceeding, and this proceeding) as an additional respondent in this proceeding on the theory that his commencement and prosecution of the Enforcement Action against Baltic on behalf of EUL constituted retaliation against Baltic in violation of § 41104(3) of the Shipping Act of 1984.

³ Again, at the direction of the Presiding Judge an audio recording of the conference was made and provided to the parties' counsel but no transcript was prepared. The audio recording can be made available upon request.

[Doc. No. 39].

The motion was, of course, frivolous, since EUL's counsel is clearly not subject to or regulated by the Shipping Act of 1984, and moreover, the legal use of process cannot constitute a basis for a retaliation claim under § 41104(3). Baltic's real purpose in filing this frivolous motion was made apparent, when Baltic's counsel used the filing in the Enforcement Action to argue that EUL's counsel, by virtue of potentially being named as a respondent in this proceeding, had a conflict of interest necessitating EUL's counsel withdrawal from the Enforcement Action. *See* Document No. 27 on the docket of the Enforcement Action: **"It is likely that ... the motion to amend the complaint will be granted, at which time Mr. Werner and his firm will have to withdraw as counsel from this matter, due to a conflict of interest."**

EUL and its counsel both opposed this motion and on May 12, 2015, the Presiding Judge denied Baltic's motion seeking leave to amend, observing that "[n]either Lyons & Flood nor Werner is a common carrier or OTI subject to the regulatory requirements of sections 40501, 41102(c), or 41104 of the Act" and that the "alleged actions have nothing to do with competition or stifling competition in the transportation by water of cargo between the United States and foreign ports and nearly all of the alleged actions occurred in the litigation between the parties in the federal district courts of New Jersey and New York, actions that have nothing to do with the Commission or its jurisdiction." **[Doc. No. 54 at pp. 8-9].**

In the meantime, on May 8, 2015, Baltic filed its opposition to EUL's motion for partial summary decision. **[Doc. No. 51].** In its opposition, rather than concede that its claims relating to the same shipments that were the subject of the 2011 DNJ Lawsuit were time barred, Baltic frivolously argued that the Shipping Act violations at issue either occurred after the 2011 DNJ Lawsuit was settled or were not "discovered" until Baltic conducted an internal "audit" of its dealings with EUL in July of 2014. **[Doc. No. 51 at pp. 21-28].**

That “audit” was the subject of a discovery dispute, in that when EUL requested production of the original “native” electronic version of the audit and the Presiding Judge ordered that same be produced **[Doc. No. 22]**, Baltic responded that it was unable to do so, citing an implausible affidavit of Mr. Presniakovas to the effect that the audit was prepared on a laptop that was subsequently infected by a computer virus and that no electronic copies were made before the infection, such that only the original signed hard copy of the audit was in existence and the signed original was in the hands of Baltic’s counsel. **[Doc. No. 33]**.

When Baltic’s counsel was ordered to produce the original hard copy of the audit for forensic inspection in the Enforcement Action, he failed to do so, producing instead only a poor quality photocopy of the document (replete with black circles from where the holes punched in the original document were photocopied over). To explain why he apparently no longer had the original hard copy in his possession, Baltic’s counsel claimed that his “assistant” (who he refused to identify) mistakenly filed the original hard copy of the audit with the Commission. *See* October 22 2015 Certification of Baltic’s counsel, a copy of which is attached to the Werner Declaration as **Exhibit E**.

However, an inquiry with the Commission’s Docket Activity Librarian readily confirmed that this explanation was false, since the Commission was only provided with the same poor quality photocopy previously provided to EUL in this proceeding, and produced for inspection by Baltic’s counsel in the Enforcement Action. *See* email dated July 10, 2015, a copy of which is attached to the Werner Declaration as **Exhibit F**. After he was ordered to disclose the identity of his “assistant” and make her available for a deposition, Baltic’s counsel suddenly claimed that he had no knowledge of the assistant’s address, telephone number, or email address and thus, could not produce her to be deposed.

When Mr. Presniakovas was deposed in the Enforcement Action concerning the provenance of the audit, Baltic's counsel repeatedly made speaking objections, improperly directed Mr. Presniakovas not to answer questions, and ultimately unilaterally terminated the deposition in order to prevent EUL from obtaining discovery concerning how the audit was prepared. See Document No. 68 on the docket in the Enforcement Action, and an October 13, 2015 letter to the Special Master appointed in the Enforcement Action, a copy of which is attached to the Werner Declaration as **Exhibit G**. Similarly, when EUL sought to depose Laura Supronas (the audit is in the form of an internal Baltic memorandum, said to be "from" Laura Supronas, Manager of Baltic and "to" Mr. Presniakovas), Baltic's counsel refused to make her available for deposition, arguing disingenuously and contrary to the factual record, that Ms. Supronas was not an employee of Baltic or otherwise under Baltic's control.

Discovery in the Enforcement Action ultimately revealed significant discrepancies between the accounts of Ms. Supronas and Mr. Presniakovas as to how the audit was prepared, with Ms. Supronas testifying that she merely typed up the audit based on dictation from Mr. Presniakovas in a single session lasting a few hours, whereas Mr. Presniakovas testified that he and Ms. Supronas developed the audit together over a matter of weeks. In reality, given that the audit was written in English (a language which Mr. Presniakovas does not understand), is dense in legal terminology, and supported by attachments only obtainable from the PACER system used by the U.S. federal courts, EUL believes that the audit was almost certainly drafted by Baltic's counsel (Mr. Nussbaum) and then backdated and signed by a complicit Ms. Supronas. Rather than risk discovery of the fraudulent nature of the audit through a forensic examination of the document, Baltic's counsel simply arranged for what he claimed was the only original ink signed copy of the audit to be "misplaced" by his "assistant" whom he conveniently claimed to have no way to contact any longer.

In addition to reliance on this backdated and fraudulent “audit” to falsely manufacture an argument of late discovery of EUL’s alleged Shipping Act of 1984 violations, Baltic’s opposition also continued to try to falsely claim as its own the 21 shipments booked by Baltic Auto Shipping Corp. of Savannah, Georgia, notwithstanding the fact that the Presiding Judge had *already* ruled on April 1, 2015 that these shipments were unrelated to Complainant. **[Doc. No. 30 at p. 2: “I find that the twenty-one shipments do not relate to Baltic Illinois or shipments at issue in this proceeding.”]**.

Finally, in its opposition Baltic also argued for the first time that EUL had acted improperly with respect to five shipments from California to Finland by allegedly contacting Baltic’s customers directly and releasing cargo to them upon the customers’ payment of outstanding charges. **[Doc. No. 51 at p. 17]**.

However, again Baltic was falsely claiming involvement with these shipments, and the factual record demonstrated that these were not Baltic shipments, but were instead shipments booked by another unrelated company named ME Baltic. In fact, during the settlement of the 2011 DNJ Lawsuit, Baltic had expressly agreed to removal of these five shipments from the 2011 Settlement Agreement because they were not related to Baltic. In any event, since the five shipments were booked more than three years before this proceeding was commenced, and claims relating to them were time barred.

On May 26, 2015, EUL filed its reply to Baltic’s opposition, pointing out the third-party nature of the 21 shipments and 5 California shipments, and reiterating that Baltic had therefore failed to identify even one shipment out of thousands which were not (a) time barred or (b) subject to the 2011 Settlement Agreement and Mutual Release. **[Doc. No. 57]**.

On June 12, 2015, oral argument was conducted with respect to EUL's motion for partial summary decision. During the oral argument counsel for Baltic admitted that:

- (1) the alleged failure of EUL to issue bills of lading and other documentation all occurred more than three years before Baltic filed its complaint; **[Doc. No. 62 at pp. 24-26]**
- (2) that to the extent the failure to issue certain documents represented a violation of the 2011 Settlement Agreement and Mutual Release, that required the Commission to interpret that settlement agreement; **[Doc. No. 62 at pp. 31-33]**
- (3) that Baltic had all the facts necessary to bring such a claim before the Commission in 2011 (as evidenced by the allegations in the 2011 DNJ Lawsuit) but chose not to do so; **[Doc. No. 62 at pp. 34-35]**
- (4) that Baltic is considered as a matter of law to have had constructive notice of EUL's tariff, and in any event could have learned about the alleged tariff violation more than three years before Baltic filed its complaint; **[Doc. No. 62 at pp. 48-50]**
- (5) that Baltic could have learned about the alleged price discrimination by EUL more than three years before Baltic filed its complaint; **[Doc. No. 62 at pp. 50-53]**
- (6) that any alteration of the shipping instructions provided by Baltic to EUL *vis a vis* the shipping instructions EUL sent to MSC all occurred more than three years before Baltic filed its complaint; **[Doc. No. 62 at pp. 59-61]**

Immediately following the oral argument, the Presiding Judge issued an Order directing Baltic to supplement the record by providing details concerning the five newly raised shipments, which Baltic argued were not covered by the 2011 Settlement Agreement, and to provide additional details concerning the 21 shipments booked by Baltic Auto Shipping Corp. of Savannah, Georgia. **[Doc. No. 60].**

Baltic filed a supplemental brief with respect to those shipments **[Doc. No. 63]** and EUL filed a response to same **[Doc. No. 66]**, pointing out that the five newly raised shipments were not included in the 2011 Settlement Agreement because they were not Complainant's shipments (instead they related to another company called ME Baltic and Complainant admitted this in

2011 during the settlement discussions) and repeating with respect to the 21 shipments that they were booked by Baltic Auto Shipping Corp. of Savannah, Georgia rather than Complainant. EUL also pointed out that Complainant did not pay the freight to EUL with respect to either the five ME Baltic shipments or the 21 Baltic, Georgia shipments, further establishing that these shipments were not related to Complainant.

On September 15, 2015, the Presiding Judge issued his Initial Decision granting EUL's motion for partial summary decision, dismissing the complaint in its entirety, and finding that EUL was a prevailing party and thus, could file a petition seeking recovery of reasonable attorney fees. **[Doc. No. 67]**. In the Initial Decision the Presiding Judge specifically found that all of the shipments at issue were time barred and/or subject to the 2011 Settlement Agreement, such that Baltic was not entitled to any reparations.

On January 15, 2016, Baltic filed Exceptions to the Initial Decision. **[Doc. No. 71]**.

EUL served a reply to Baltic's Exceptions on March 3, 2017. **[Doc. No. 72]**.

However, on August 15, 2016, Baltic filed a motion seeking dismissal of the entire proceeding, including withdrawal of its Exceptions. **[Doc. No. 77]**.

EUL did not oppose the withdrawal of the Exceptions, but did oppose discontinuance of the proceeding so that EUL could proceed forward with a petition seeking recovery of reasonable attorney fees. **[Doc. No. 78]**. EUL specifically and repeatedly denied the existence of any agreement as part of the settlement of the Enforcement Action to forego EUL's right to seek recovery of reasonable attorney fees as a prevailing party in this proceeding. **[Doc. No. 82 at p. 2, Doc. No. 85, and Doc. No. 91]**.

On April 21, 2017 the Commission served its Memorandum Opinion and Order rejecting Baltic's attempt to extinguish EUL's right to seek recovery of reasonable attorney fees but ordering that the Exceptions be withdrawn. **[Doc. No. 94]**. Specifically, the Commission held that:

With respect to the part of Complainant's motion requesting that the Commission extinguish the ability of either party to seek attorney fees, the Commission denies this request. The award of attorney fees in Shipping Act complaint proceedings is governed by statute and the Commission's implementing regulations. See 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254. Specifically, the Commission may, upon petition, award the prevailing party reasonable attorney fees. 46 C.F.R. § 502.254(a). **It would therefore be inappropriate for the Commission to terminate a party's statutory right to seek attorney fees based on the unilateral request of the opposing party.** This does not mean, however, that the Commission would necessarily award attorney fees in this proceeding upon receipt of a petition. Eligibility and entitlement to fees would be determined in accordance with the principles laid out in *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 FMC LEXIS 58 (FMC Sep. 14, 2016) and the guidance included in the Commission's final rule implementing the amended attorney-fee award provisions of the Shipping Act. See 81 Fed. Reg. 10509 (Mar. 1, 2016).

[Doc. No. 94 at p. 13 (emphasis added)].

Moreover, the Commission specifically rejected Baltic's assertion of the existence of such an agreement to extinguish EUL's right to seek recovery of reasonable attorney fees in this proceeding:

Pertaining to the existence of a valid settlement agreement, Complainant has argued that the Settlement Agreement and Transcript confirmed that the parties agreed to withdraw the entire Complaint, including any claims for attorney fees. See Reply on Respondents' Motion at 3-4. Moreover, Complainant has provided an email that demonstrates Respondents, not Complainant, drafted the Settlement Agreement, which Complainant has manifested a desire to finalize. See Complainant's Motion to Strike Respondents' Unauthorized Sur-Reply at 2-3. **Nevertheless, although the parties both manifested a willingness to consider a full settlement, the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly**

decided that settlement is in their best interest. Despite a Commission policy favoring settlement, there are not sufficient grounds to dismiss the action as a joint stipulation or settlement.

[Doc. No. 94 at p. 9 (emphasis added)].

Baltic did not appeal from the Commission's April 21, 2017 Memorandum Opinion and Order and that decision, and thus, the September 15, 2015 Initial Decision, are now final.

ARGUMENT

STANDARD FOR AWARD OF ATTORNEY FEES

On March 1, 2016, the Commission amended its Rules of Practice and Procedure governing the award of attorney fees in Shipping Act complaint proceedings in order to implement the statutory amendments made by the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-282, § 402, 128 Stat. 3022 (Dec. 18, 2014) (hereinafter the "Coble Act"). The award of attorney fees in Shipping Act complaint proceedings is governed by statute and the Commission's implementing regulations. *See* 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254 ("Rule 254").

Rule 254 provides in relevant part that "[i]n any complaint proceeding brought under 46 U.S.C. 41301 (sections 11(a)-(b) of the Shipping Act of 1984), the Commission may, upon petition, award the prevailing party reasonable attorney fees" and that "[i]n order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final." The petition must be filed with "[t]he Commission, if the Commission reviewed the decision of the administrative law judge" and must "[e]xplain why attorney fees should be awarded in the proceeding", "[s]pecify the number of hours claimed by each person representing the prevailing party at each identifiable stage of the proceeding", and "[i]nclude supporting evidence of the reasonableness of the hours claimed and the customary rates charged by attorneys and associated legal representatives in the community where the person practices."

EUL SHOULD BE AWARDED ATTORNEY FEES

It is undisputed, and the Presiding Judge has already determined, that EUL is properly considered a prevailing party such that it may be awarded attorney fees. **[Doc. No. 67 at p. 58: “Empire is the prevailing party in this proceeding.”]** There can also be no dispute that EUL’s petition is timely. The Initial Decision was issued on September 15, 2016, but Baltic filed Exceptions to same. The Commission issued its Memorandum Opinion and Order with regard to the Exceptions on April 21, 2017. Baltic had 60 days under the Hobbs Administrative Review Act, 28 U.S.C. § 2341 (*i.e.* until June 20, 2017) to file a petition for review of same, but failed to do so. Thus, under Rule 254(c) EUL has 30 days from June 20, 2017, which is the date the Initial Decision became final under the Hobbs Act, to file the instant petition for attorney fees. So long as EUL’s petition is filed by July 20, 2017, its petition is timely.

And the basis for EUL’s entitlement to attorney fees in this matter is straightforward. As the Commission has already observed: “[e]ligibility and entitlement to fees is determined in accordance with the principles laid out in *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 FMC LEXIS 58 (FMC Sep. 14, 2016) and the guidance included in the Commission’s final rule implementing the amended attorney-fee award provisions of the Shipping Act. *See* 81 Fed. Reg. 10509 (Mar. 1, 2016).” **[Doc. No. 94 at p. 13].**

In summary, that guidance provides that the primary consideration in determining entitlement to attorney fees will be whether such an award is consistent with the purposes of the Shipping Act, there should be no general presumption for or against awarding attorney fees, prevailing complainants and prevailing respondents should be treated in an even-handed manner, and parties should be encouraged to litigate meritorious claims and defenses.

The Commission's final rule also discussed the potential applicability of the following factors cited with approval by the U.S. Supreme Court in *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994) when determining whether to award attorney fees: "frivolousness, motivation, objective unreasonableness (both in the factual and in the legal components of the case) and the need in particular circumstances to advance considerations of compensation and deterrence." (the Copyright standard).

Alternatively the Commission's final rule also discussed the so-called Civil Rights standard under which prevailing defendants are awarded attorney fees only "upon a finding that the plaintiff's action was frivolous, unreasonable, or without foundation." *Christiansburg Garment Co. v. Equal Emp't Opportunity Comm'n*, 434 U.S. 412, 421 (1978).

EUL respectfully submits that regardless of which standard is applied, it has demonstrated entitlement to attorney fees because Baltic's claims in this proceeding were frivolous, unreasonable, and without foundation.

Specifically, Baltic knew, or should have known, that all of its claims against EUL in this proceeding were time barred and/or subject to the 2011 Settlement Agreement. Certainly by December 18, 2014 (after EUL had moved for a more definite statement, specifically raising the time bar and settlement defenses), Baltic and its counsel were aware of the time bar and settlement defenses. However, Baltic elected not to dismiss its claims and instead proceeded to litigate clearly time barred and released claims against EUL in bad faith for the next two and a half years.

Moreover, throughout this period Baltic's counsel (Mr. Nussbaum) continuously threatened EUL with the prospect of onerous sanctions and penalties that *might* be imposed by the Commission's Bureau of Enforcement if this proceeding were not settled on the terms he dictated, and further sought to harass and burden EUL by seeking documents relating to

hundreds of vehicle shipments all of which had clearly been booked more than three years prior to the filing of Baltic's complaint in this proceeding.

Baltic persisted in litigating its meritless claims even after the Presiding Judge *specifically* advised Baltic's counsel on February 26, 2015, that due to the Coble Act amendments EUL could be awarded reasonable attorney fees as a prevailing party. Despite this clear and unambiguous warning, which was provided by the Presiding Judge in order to urge Baltic and its counsel to do the right thing and voluntarily dismiss what were clearly time barred and released claims, Baltic and its counsel decided they preferred to continue to harass EUL by engaging in protracted litigation of meritless claims.

Thus, in order to try to get around the time bar, Baltic and its counsel decided to rely upon a fraudulently prepared "audit" as a basis for arguing that Baltic only recently "discovered" EUL's alleged Shipping Act violations, and Baltic further attempted to claim as its own, shipments booked by third-parties with EUL, despite having no basis in the factual record to make such claims (including email admissions at the time from the *actual* shippers involved that they were unrelated to Baltic).

Baltic and its counsel stubbornly persisted in pursuing these meritless claims even to the point of filing Exceptions to the Presiding Judge's Initial Decision, and it was only the imminent threat of being sanctioned in the Enforcement Proceeding that caused Baltic's counsel to ultimately withdraw the Exceptions.

Through its continued prosecution of frivolous claims, Baltic forced EUL to expend significant resources of both time and money in its defense. Perhaps most egregiously Baltic also repeatedly failed to terminate its claims when it could have limited the expenses of EUL.

Baltic could have voluntarily withdrawn its complaint at any time until January 21, 2015 when EUL submitted its answer, moved at any point to dismiss the complaint by stipulation of

the parties, or requested dismissal of the claim without prejudice under Rule 72 of the Commission's Rules of Practice and Procedure (46 CFR 502.72). Instead, at each and every stage of the proceedings (including after the Initial Decision was issued) Baltic chose to continue prosecution of its meritless and time barred claims.

EUL respectfully submits that deterring complainants from prosecuting frivolous claims (like Baltic did) by awarding respondents (like EUL) reasonable attorney fees would further the purposes of the Shipping Act. Rule 1 of the Commission's Rules of Practice and Procedure commands the Commission to interpret and apply its rules so as to "secure the just, speedy and inexpensive determination of every proceeding." This Rule is effectuated by awarding fees where, as here, a party has dragged on a proceeding despite a clear lack of merit to its claims. Prolongation of proceedings in such circumstances simply wastes the time and resources of both the parties and the Commission to the detriment of the parties to other proceedings. Therefore, EUL's petition for attorney fees should be granted.

Furthermore, an award of attorney fees would be just and equitable under the circumstances. This is not a case where a poorly resourced complainant (perhaps without the assistance of counsel) has failed in his honest, but misguided, attempt to seek reparations for the wrongful conduct of a more powerful and deep pocketed respondent. Baltic and EUL are both licensed NVOCCs of similar size, sophistication and resources, and both are involved as competitors in the same markets. As such, there is no mismatch in terms of resources or ability to pay that would justify alleviating Baltic from responsibility for its conduct in this case. Nor can Baltic cite inexperience on the part of its counsel, as an excuse for its conduct. Mr. Nussbaum is well known to the Commission; in addition to this proceeding he is involved in Docket No. 15-11 (also involving EUL) and Docket No. 16-16.

And Baltic's conduct merits an award to EUL of its reasonable attorney fees as a prevailing party. As outlined above, Baltic commenced this proceeding in bad faith, by asserting clearly time barred and released claims against EUL and continuing to persist with litigation of those claims long after it knew better. Given Baltic's status as an NVOCC and its record keeping requirements, it beggars belief that Baltic could have not known that all of the shipments at issue occurred outside the three year statute of limitations for seeking reparations. Even if it was somehow possible that Baltic was unaware of the fatally flawed nature of its claims when it commenced this proceeding, Baltic lost any such pretext of ignorance when EUL moved for a more definite statement and thereby outlined the time bar and release issues and Baltic nevertheless elected to continue to press its frivolous claims against EUL. Therefore, EUL respectfully submits that awarding reasonable attorney fees to EUL would be consistent with the purposes of the Shipping Act, and would not deter parties from litigating meritorious claims and defenses.

THE AMOUNT OF ATTORNEY FEES SOUGHT IS REASONABLE

In support of its request for attorney fees, EUL provides the Declarations of Gerard S. Doyle, Jr. and Jon Werner, together with their relevant invoices and billing statements and the relevant Laffey Matrixes demonstrating the reasonableness of the hourly rates charged.

These Declarations meet the requirements outlined in Rule 254(b) since they “[s]pecify the number of hours claimed by each person representing the prevailing party at each identifiable stage of the proceeding” and include “supporting evidence of the reasonableness of the hours claimed and the customary rates charged by attorneys and associated legal representatives in the community where the person practices.” See *Tienshan, Inc. v. Tianjin Hua Feng Transp. Agency Co., Ltd.*, 32 S.R.R. 52, 57-58 (ALJ 2011) (time records prepared contemporaneously and partners’ affidavits have been accepted by the Commission to establish hours submitted); see also *Bernard & Weldcraft Welding Equip. v. Supertrans Int’l, Inc.*, 29 S.R.R. 1348, 1358 (ALJ 2003).

The Doyle Declaration and its attachments show that Mr. Doyle spent a total of 218.77 hours of attorney work time, from December 18, 2014, through June 28, 2017, charging a rate of \$325.00 per hour, with fees totaling \$70,770.87. Similarly, the Werner Declaration and its attachments show that Mr. Werner spent a total of 54.7 hours of attorney work time directly relating to this matter, from December 18, 2014, through September 28, 2015, charging a rate of \$285.00 per hour, with fees totaling \$15,589.50.⁴ In total, EUL’s counsel billed for attorney work time performed from December 18, 2014, through June 28, 2017, in the amount of \$86,360.37.

Although Mr. Werner has not appeared formally before the Commission with respect to this proceeding, he was routinely assisting and coordinating with Mr. Doyle as counsel for EUL in this matter. Due to his involvement in both the 2011 DNJ Lawsuit and the Enforcement Action Mr. Werner’s assistance to Mr. Doyle in this proceeding was instrumental to the successful defense by EUL against Baltic’s meritless claims. As counsel for Baltic is aware, Mr. Werner was copied on virtually all correspondence by Mr. Doyle throughout this proceeding and

⁴ Although Mr. Werner’s total time spent was 239.8 hours of attorney work, at a total cost of \$68,343.00, since much of that time was more closely related to the Enforcement Action or overlapped between this proceeding and that action, EUL is only seeking recovery for 54.7 hours of Mr. Werner’s time.

was actively and intimately involved in the defense of EUL in this matter.

In addition to the time spent in assisting with the defense of this proceeding, the Werner Declaration explains that while invoices have not yet been generated for the time spent in preparing this fee petition, the total number of hours spent is estimated to be 25 hours. At Mr. Werner's rate of \$285.00 per hour, the cost of preparing this fee petition on behalf of EUL is estimated to be \$7,125.00. EUL respectfully seeks recover of the attorney fees incurred in the preparation of this petition.

Courts have consistently held that federal statutes authorizing attorney fees include the time spent preparing a fee petition. *See, e.g., Zeigler Coal Co. v. Director, OWCP*, 326 F.3d 894 (7th Cir. 2003); *Kerns v. Consolidation Coal Co.*, 247 F.3d 133, 134 (4th Cir. 2001); *Anderson v. Director, OWCP*, 91 F.3d 1322 (9th Cir. 1996), *Prandini v. Nat 'l Tea Co.*, 585 F.2d 47 (3d Cir. 1978). And of course such fees were awarded in *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 FMC LEXIS 58 (FMC Sep. 14, 2016).

The Laffey Matrices attached to the Doyle Declaration and Werner Declaration further show that the hourly rates charged by EUL's counsel are reasonable in consideration of the customary rates charged by attorneys of comparable experience. The Laffey Matrix has been relied upon by the Commission and courts to determine reasonable attorney fees. *See, e.g., Petra Pet, Inc. v. Panda Logistics LTD., Panda Co. Ltd.*, 33 S.R.R. 336 (FMC 2014), and *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 FMC LEXIS 58 (FMC Sep. 14, 2016).

There are two different versions of the Laffey Matrix. One version is maintained by the United States Attorney's Office for the District of Columbia, showing the hourly rates that the U.S. Attorney's Office will accept for fee applications against the United States in cases not arising under the Equal Access to Justice Act. This version of the Laffey Matrix has been

updated each year by applying the inflation rate, as determined by the local Consumer Price Index for All Urban Consumers (CPI-U), to the rates for previous years, going back to the hourly rates that were originally determined to be reasonable in *Laffey v. Northwest Airlines, Inc.*, 572 F.Supp. 354 (D.D.C. 1983), *aff'd in part, rev'd in part on other grounds*, 746 F.2d 4 (D.C. Cir. 1984), *cert. denied*, 472 U.S. 1021 (1985). These updated Laffey Matrices can be found on the following Department of Justice website: <https://www.justice.gov/usao-dc/civil-division> and the relevant version of this Laffey Matrix is also attached to the Doyle Declaration as **Exhibit B**, and to the Werner Declaration as **Exhibit B**.

This updated Laffey Matrix shows that for attorneys with at least 35 years of experience following graduation from law school (such as Mr. Doyle), the reasonable hourly rate is \$581.00, and for attorneys with at least 10 years of experience following graduation from law school (such as Mr. Werner), the reasonable hourly rate is \$395.00.

Separately, an Adjusted Laffey Matrix has been created that calculates current hourly rates by using the inflation rate for legal services instead of inflation in consumer prices generally. See <http://www.laffeymatrix.com/see.html>. A copy of this Adjusted Laffey Matrix is also attached to the Doyle Declaration as **Exhibit B**, and to the Werner Declaration as **Exhibit B**. According to the Adjusted Laffey Matrix, for attorneys with at least 20 years of experience following graduation from law school (such as Mr. Doyle), the reasonable hourly rate is \$826.00, and for attorneys with at least 10 years of experience following graduation from law school (such as Mr. Werner), the reasonable hourly rate is \$608.00.

The rates charged in this matter by Mr. Doyle and Mr. Werner are well below the rates provided for comparably experienced attorneys under both of these Laffey Matrices. Therefore, EUL respectfully submits that the rates sought to be applied in calculating an award of attorney fees in this matter are reasonable.

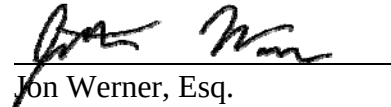
CONCLUSION

In sum, EUL respectfully submits that in light of Baltic's actions in persisting with the prosecution of clearly time barred and released claims, which resulted in dismissal, the award of fees to EUL would be consistent with the purposes of the Shipping Act and the factors laid out in *Fogerty*. Accordingly, EUL submits that the Commission should find that EUL is entitled to an award of its reasonably incurred attorney fees in the total amount of \$93,485.37.

Dated this 19th day of July 2017.

LYONS & FLOOD, LLP

By:



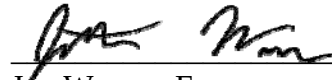
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served RESPONDENTS' PETITION REGARDING ATTORNEY FEES and the supporting DECLARATION OF GERARD S. DOYLE, JR. and DECLARATION OF JON WERNER upon all parties of record by first class mail and email at the addresses below, and that the original and five copies are being filed with the Secretary of the Federal Maritime Commission:

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Dated this 19th day of July 2017.



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